

successful startup expect to have years after its initial public offering to bask in market-leading success. Today successful companies face immediate pressure from new competitors, fast followers, and scrappy startups. As a result, it no longer makes sense to think of startups as going through discrete phases like the proverbial metamorphosis of a caterpillar to a butterfly. Both successful startups and established companies alike must learn to juggle multiple kinds of work at the same time, pursuing operational excellence and disruptive innovation. This requires a new kind of portfolio thinking, which is the subject of [Chapter 12](#).